Walmart (WMT) | Project 1 Research Evolution

FIN 43900 | Purdue University | October 12, 2026

This report covers how my Walmart research changed throughout the project, from my initial investment recommendation to building a five-year financial model, completing a valuation, and testing my results.

1. Where the Project Started

For my September 1, 2026 Edition A, I focused on Walmart and gave it an initial Watch–Defer recommendation. Most of my research at that point came from Walmart's FY2026 10-K, where I found $706.413 billion in net sales, $29.825 billion in operating income, $10.727 billion in cash, and $44.762 billion in borrowings.

I had not completed a valuation yet, so I still needed to look into revenue growth, profitability, capital spending, the discount rate, and how to calculate equity value from enterprise value.

My partner also brought up the question of what could cause Walmart's sales and profits to decline in the future. This made me consider some of the potential risks that could affect Walmart's financial performance.

2. What Changed Throughout the Project

Area	Edition A	Later Analysis
Sources	FY2026 annual filing and initial research questions	Additional quarterly filing, source checks, and financial reconciliations
Model	No completed five-year forecast	FY2027–FY2031 financial projections and FCFF DCF
Valuation	No completed valuation range	Downside $32.40, base $36.78, and upside $44.00
Risk Analysis	Initial questions about growth, margins, and financial performance	Reverse DCF, comparable companies, sensitivity testing, and working-capital analysis
Recommendation	Watch–Defer	Watch–Defer, with more financial analysis supporting the recommendation

3. How My Valuation Developed

Throughout the project, I built a five-year financial model to project Walmart's revenue, operating results, cash flow, capital expenditures, and financing needs through FY2031.

Using a provisional 7.00% WACC and 2.50% terminal growth rate, my base-case DCF gave me an estimated value of $36.78 per basic share.

I also looked at three different scenarios to see how changes in assumptions would affect Walmart's valuation:

- Downside: $32.40 per share
- Base: $36.78 per share

- Upside: $44.00 per share

I considered a broader $31–$49 reference zone based on discount-rate sensitivity and Target-based valuation comparisons. This helped me see how the valuation could change under different assumptions rather than relying on just one number.

For the reverse DCF, I worked backward from Walmart's reported closing price of $110.53 on September 23, 2026. Based on my model, Walmart would need much stronger revenue growth or improvements in its operating performance to support that price.

I also compared Walmart with Target and Costco. Their valuation multiples were different, which showed me how much the results can depend on the companies being used for comparison.

4. How I Tested My Work

After building the models, I completed several tests to check my calculations.

Enterprise-to-Equity Bridge: I tested a separate example using $1,000 million in enterprise value, $100 million in cash, $250 million in debt, and $50 million in leases. This resulted in $800 million in equity value, or $8.00 per share using 100 million shares. The result matched the expected answer.

Changed-Input Test: I lowered the revenue growth assumptions for FY2027–FY2031 by one percentage point in the V2 model while keeping the other independent inputs the same. The value decreased from $35.67 to $30.67 per share, which was what I expected. This test was completed using V2 rather than the final V3 model.

Cold-Run Testing: I ran the validation script to make sure the financial models and calculations could run successfully. The October 12 results showed that all seven Python subprocesses completed successfully and the selected protected files had not changed.

These tests showed that the calculations were running as expected, but they did not necessarily mean every assumption or financial input was correct.

5. Limitations I Identified

Even though the models passed the tests, there were still a few things that could affect my valuation.

For example, my proposed September 23 valuation uses financial balances from July 31 and a basic share count from August 26. I would still need to verify the diluted share count for the valuation date and review the enterprise-to-equity bridge.

My WACC is also provisional, and around 82% of the base-case enterprise value comes from terminal value. This means changes in long-term assumptions could have a pretty big impact on the valuation.

My upside scenario also assumes approximately $9.022 billion in working-capital release during FY2027, but I do not have a separate operating plan showing how Walmart would achieve that improvement.

These limitations showed me that even if the calculations work, the valuation can still change depending on the assumptions used.

6. How I Used AI

I used ChatGPT and Codex throughout the project to help with financial research, developing and reviewing Python code, running validation tests, and organizing some of my documentation.

I reviewed the model results and documented which assumptions and calculations still needed to be verified. For the changed-input test, I recorded my prediction before running the test.

I used the financial results and supporting research to evaluate the investment decision and was responsible for my final recommendation and interpretation.

7. My Final Takeaway

I kept my Watch–Defer recommendation, but by the end of the project, I had more financial analysis to support my decision.

When I started Edition A, I had collected Walmart's financial information and identified some questions I wanted to look into, but I had not completed a valuation. Throughout the project, I built financial projections, tested different scenarios, compared Walmart with other retailers, and looked at how changes in assumptions affected my results.

My model produced values below Walmart's reported September 23 market price, but there are still assumptions that would need more verification. Before making a more confident investment decision, I would want to review the financial inputs, share count, WACC, enterprise-to-equity bridge, and working-capital assumptions.

One of my biggest takeaways from this project was learning that building the model is only one part of the analysis. It's also important to understand where the numbers come from and why the valuation changes, rather than just focusing on the final price per share.

Supporting Documents

My GitHub repository includes my original Edition A, Edition A-to-B comparison, Edition B investment memo, financial models, independent source checks, validation results, AI-use record, and other supporting documents.

Repository: https://github.com/olianaozbaki-ctrl/WMT-Ticker---Research

Edition A — Retained Repository Text

Preserved text from the project repository file; contents have not been rewritten.

Decision and User

The decision is whether Walmart should move forward for deeper valuation research. The decision user is an equity research analyst deciding whether the company is worth spending additional time researching.

Company and Valuation Date

Company: Walmart Inc. (WMT)

Valuation Date: September 1, 2026

Initial Thesis

Watch-defer.

Walmart has continued to generate strong sales and operating income, but I would want to complete a full valuation and better understand the assumptions driving future growth and margins before deciding whether to initiate coverage.

Known Evidence

Walmart filed its FY2026 Form 10-K on March 13, 2026 for the fiscal year ended January 31, 2026.

FY2026 net sales were $706.413 billion, representing 4.7% growth from the prior year.

FY2026 operating income was $29.825 billion.

Cash and cash equivalents were $10.727 billion as of January 31, 2026.

Walmart reported $6.596 billion of short-term borrowings and $38.166 billion of long-term debt, including the portion due within one year.

Weighted-average diluted common shares outstanding were 8.022 billion for FY2026.

Source: Walmart Inc. FY2026 Form 10-K, filed with the SEC on March 13, 2026.

Consequential Assumptions

The valuation will depend heavily on assumptions about future revenue growth, operating margins, capital expenditures, working capital needs, WACC, and the terminal growth rate. Small changes to these assumptions could materially change the estimated equity value.

Unknowns

I still need to determine whether Walmart's recent growth rate is sustainable, how margins may change over the forecast period, how much reinvestment will be required to support growth, and whether the resulting intrinsic value supports initiating coverage.

Research Plan

I will review Walmart's financial statements and most recent quarterly results, develop a five-year operating forecast, calculate FCFF, estimate WACC, calculate terminal value, and complete the enterprise-to-equity bridge. I will then run sensitivity analysis on the assumptions that have the largest effect on the valuation.

Partner-Generated Falsification Question

What could cause Walmart’s sales and profits to decline in the future?

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Recommendation: Watch–Defer **Proposed valuation date:** September 23, 2026

After completing my research, I kept Walmart on Watch–Defer. The difference from Edition A is that I now have a five-year financial model, valuation scenarios, comparison companies, and recorded tests to explain the decision.

What Changed From Edition A to Edition B

Changed item	Edition A	Edition B	Main driver	Supporting check or evidence
Thesis / recommendation	Watch–Defer; valuation not completed	Watch–Defer; model results below $110.53 close	My analysis, with AI-assisted modeling	DCF $32.40 / $36.78 / $44.00; reverse DCF shows stronger operating results needed
Data / source choice	FY2026 Form 10-K	Added FY2027 Q2 10-Q and dated market / peer inputs	Additional research and source checks	July 31 balances, Aug. 26 shares and source-definition gaps documented
Model / assumptions	Growth, margins and investment were open questions	FY2027–FY2031 FCFF forecast; 7.00% WACC, 2.50% g, scenarios	AI-assisted Python development and my model review	Bridge test, scenario checks and seven-process cold run passed
Risk / uncertainty	Could sales or profits decline?	Terminal value ~82%; large upside working-capital release; share/bridge gaps	Partner challenge, source review and sensitivity analysis	V2 revenue-growth decrease lowered modeled price from $35.67 to $30.67

An Important AI-Assisted Output and How I Checked It

I used ChatGPT and Codex to help develop and review the financial models and testing scripts. One important output was the V2 DCF valuation. Before the changed-input run, I recorded that lowering revenue growth should lower the valuation. The recorded test reduced each annual growth assumption by one percentage point, and value fell from $35.674421 to $30.667082 per share. This supported the expected direction, but it did not prove the forecast inputs were accurate. AI helped refine wording in the pre-run prediction, as explained in my AI-use record.

What Still Needs Verification

My September 23 valuation uses July 31 cash, debt and lease amounts and August 26 basic shares. The WACC is provisional, and approximately $9.022 billion of FY2027 working-capital release in the upside case is not supported by a separate operating plan. I would verify these before relying on the modeled share values as final estimates.

What Changed From Edition A to Edition B, and Why?

My recommendation did not change. Edition A explained the questions I wanted to answer, while Edition B adds financial estimates and testing results. The model gave me more evidence to keep Walmart on Watch–Defer, but the remaining assumptions and dated financial inputs are why I would not initiate a position yet.

The full financial recommendation and supporting calculations are provided separately in the Decision Memo PDF.